IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH-II, CHENNAI

In the matter of SCHEME OF ARRANGEMENT (DEMERGER)

Between

CP(CAA)/108(CHE)/2022

In

CA(CAA)/128(CHE)/2021

(Under Section 230 -232 of the Companies Act, 2013)

COIMBATORE ANAMALLAIS AGENCIES PRIVATE LIMITED
CIN: U05110TZ1991PTC003138
Reg. off:-
172 Dr Rajendra Prasad Road, Tatabad,
Coimbatore – 641 012,
Tamil Nadu

... Petitioner / Demerged Company

And

CP(CAA)/109(CHE)/2022

In

CA(CAA)/129(CHE)/2021

(Under Section 230 -232 of the Companies Act, 2013)

TRICHY ANAMALLAIS AGENCIES PRIVATE LIMITED
CIN: U50101TZ2005PTC011552
Reg. off:-
172 Dr Rajendra Prasad Road, Tatabad,
Coimbatore – 641 012,
Tamil Nadu

...Petitioner / Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on 20th March 2023

CORAM

ASHOK KUMAR BHARDWAJ, MEMBER (JUDICIAL)

SAMEER KAKAR, MEMBER (TECHNICAL)

For Petitioners : R. Vidhya Shankar, Advocate
For M/s. Ramanai & Shankar Advocates

COMMON ORDER

Per: **ASHOK KUMAR BHARDWAJ, MEMBER (JUDICIAL)**

The hearings of above two petitions were conducted through video conferencing platform.

CP(CAA)/108(CHE)/2022 and CP(CAA)/109(CHE)/2022 are two individual Company Petitions filed by the Petitioner Companies viz., **COIMBATORE ANAMALLAIS AGENCIES PRIVATE LIMITED** (for brevity *"Demerged Company"*), and **TRICHY ANAMALLAIS AGENCIES PRIVATE LIMITED** (for brevity *"Resulting Company"*) under section 230-232 of Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the composite scheme of arrangement ("Demerger") (herein after referred as "SCHEME") proposed by the Petitioner Companies. The said Scheme is annexed as Exhibit P-6 in the both the Company Petition.

2. The Scheme of Arrangement (Demerger) as contemplated between the Petitioner Companies involves *Demerger of "Demerged Undertaking" into the Resulting Company; and retaining the "Remaining Undertaking" by the Demerged Company.*

The Demerged/Remaining Undertaking as defined under Part-II of the scheme is as follows,

> *Demerged Undertaking – means in relation to Demerged Company, the business of dealership of Automobiles for*

sales and servicing in Trichy, Kumbakonam, Karur, Salem and Thanjavur together with its businesses and activities in respect whereof, a segmented audited financial statement, as at opening of business hours as on Appointed Day is furnished in Part –A of Schedule-I hereto, and compromise belonging" as specified in the scheme.

Remaining Undertaking – means Undertaking of the Demerged Company, to be retained by the Demerged Company.

3. RATIONALE OF THE SCHEME

a) *The principals for whom the automobile dealerships are operated, have advised a bifurcation of the dealerships to put in place a succession plan, keeping in mind the geographical areas of operation and long term growth plan.*

b) *The Demerged Company is engaged in business as Dealers in Automobiles for sales and servicing and is currently engaged in business as authorized dealers of Toyota brand of Motor Vehicles for sales and servicing in Coimbatore, Tirupur, Ooty, Pollachi, Erode, Trichy, Kumbakonam, Karur, Thanjavur and Salem, in the State of Tamil Nadu. To enable better management and proper geographical re-organisation of business, the company's operation has been divided into two separate segments viz., Demerged Undertaking and Remaining Undertaking.*

c) *As each undertaking operates in different districts of Tamil Nadu, separation of operations based on the geographical boundaries within which each undertaking operates, would ensure better utilization of capacity, proper segregation of resources, proper geographical reorganization of business*

and consequent ability on the part of the Resulting Company as also the Demerged Company to focus on their respective business units.

d) *Since the Scheme of Demerger is based on geographical re-organization, and keeping in mind the succession plan approved by the principals, it would provide greater flexibility, transparency on the operational and financial performance of the undertakings and would provide high degree accountability and independence and further the growth of the respective businesses.*

e) *As such, the Board of Directors of the Demerged Company have resolved to transfer of Demerged Undertaking through Scheme of Demerger into another company having exclusive similar object clause to that of the Demerged Company, For this purpose, the Board of Directors of Demerged Company have identified and proposed to transfer its Demerged Undertaking to the Resulting Company:*

f) *In the light of the aforesaid rationale and subject to the approval of Shareholders of the Demerged Company and Resulting Company as well as creditors of the same (if any) and National Company Law Tribunal, Chennai Bench or any other statutory Authorities and in accordance with the provisions of Section 230 to 232 of the Companies Act 2013 and other relevant provisions of the Companies Act 2013 and read with Companies (Compromises, Arrangements and Amalgamations) Rules 2016, and read with Section 2(19AA) of the Income Tax Act, the Board of Directors of Demerged Company at their meeting held on 16.09.2021, and Resulting Company at the meeting held on16.09.2021, have decided to*

demerge the Demerged Undertaking into the Resulting Company.

g) *The proposed Scheme of Demerger of Demerged Undertaking of the Demerged Company to the Resulting Company shall comply with the provisions of Section 2(19AA) of the Income Tax Act, 1961 and other applicable provisions of Income Tax Act, 1961 and Accounting Standards as applicable to the Demerged Company and Resulting Company.*

h) *This Scheme of Demerger or with any modifications approved or imposed or directed by the Hon'ble National Company Lew Tribunal shall be operative from the Appointed Date but shall be effective from the Effective Date.*

4. 1ST MOTION APPLICATION

4.1 The Petitioner Companies filed two individual First Motion Application vide CA(CAA)/128(CHE)/2021 and CA(CAA)/129(CHE)/2021, based on such applications moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 03.02.2022, for holding/dispensation of meeting as follows;

	EQUITY SHAREHOLDERS	**SECURED CREDITORS**	**UNSECURED CREDITORS**
DEMERGED COMPANY	*Dispensed with*	*Dispensed with*	***To convene meeting***
RESULTING COMPANY	*Dispensed with*	Not Applicable	*Dispensed with*

4.2 The meeting for the Unsecured Creditors of the Demerged Company was directed to be held on 25.05.2022. The chairperson appointed had filed his report dated 26.05.2022. Subsequent to the said report the petitioner companies have filed the Company Petition on 21.07.2022, the same was taken on record upon condonation of delay vide order dated 02.11.2022. Thereafter, on 07.12.2022, this Tribunal passed an order directing issuance of notice to the Statutory Authorities concerned and had also directed issuance of publication in one 'The Hindu' (English-South Edition) and 'Dinathanthi' (Tamil-Coimbatore Edition).

4.3 Pursuant to the said directions, notices were duly served on The Regional Director, Southern Region, The Registrar of Companies Coimbatore on 31.01.2023 and to the Deputy Commissioner of Income Tax on 30.01.2023, publications were also duly made on 28.01.2023. An Affidavit of service dated 08.02.2023 and 14.02.2023 confirming the services and publications is also placed on record.

5. STATUTORY AUTHORITIES

5.1. REGIONAL DIRECTOR

5.1.1 The Regional Director, Southern Region, *(hereinafter referred to as 'RD')* Chennai to whom the notices were issued, has filed his Report on 23.01.2023

before this Tribunal and has stated that *it has been decided not to make any objection to the scheme except for the observation at para 9 of this report and it is therefore prayed that this Hon'ble National Company Law Tribunal Bench at Chennai may dispose of the matters on merits and pass such order/orders as deemed fit and proper.*

The observation at para 9 is as extracted hereunder,

> *"9. It is humbly submitted that Clause 6.2 of Part V of the Scheme provides for increase of authorized share capital of the Resulting Company as such the Authorized Share Capital of the Resulting Company shall stand enhanced to Rs.2,00,00,000/- upon effectiveness of the Scheme of Arrangement and Clause V of Memorandum of Association of the Resulting Company shall be altered as 'The Authorized Share Capital of the Company is Rs. 2,00,00,000|- divided into 20,00,000 Equity Shares of Rs. 10 each'. It is prayed that the Hon'ble NCLT, Chennai may direct the Resulting Company to pay the fee / stamp duty on the proposed increase of Authorized Share Capital and also to file the amended MOA and AOA with the Registrar of Companies."*

5.1.2 The Authorized Representative of the Resulting Company has filed an Affidavit to that effect stating that the "*Clause 6.2(a) of the scheme already provides that the capital of the Resulting Company will be increased for the purpose of issue/ allotment of equity shares of the shareholders of the Demerged*

Company in terms of the scheme." The same is taken on record.

5.1.3 It is further observed that as per the report of RoC, Coimbatore, the Companies have filed their statutory returns up to 31.03.2022 and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

5.2 INCOME TAX DEPARTMENT

5.2.1 The Deputy Commissioner of Income Tax Corporate Circle – I, Coimbatore, *(hereinafter referred to as 'IT Department')* to whom the notices were issued, has sent its representation for pending demands on 02.02.2023 to the Petitioner Companies and has stated that the assesse (Demerged Company) is liable to pay the outstanding demands. The same is as extracted hereunder,

In the matter of Scheme of Arrangement between M/s Coimbatore Anamallais Agencies Private Limited (PAN AABCC2462L) and M/s Trichy Anamallais Agencies Private Limited, it is hereby submitted that as per records available in this office, the demand due to M/s Coimbatore Anamallais Agencies Private Limited (PAN AABCC2462L) are as follows:

SL	Assessment Year	Demand section	Date of Order	Demand outstanding
1	2017-18	220(2)	21.07.2021	Rs. 3,173/-
2	2019-20	220(2)	22.10.2021	Rs. 2,210/-
3	2020-21	143(3)	18.09.2022	Rs. 5,62,680/-

The assessee is liable to pay the above mentioned demand. The statutory tax dues may be cleared before finalizing the scheme of Arrangement (Demerger and Amalgamation).

Yours faithfully,

(K.K. Krishnaprasad) IRS
Deputy Commissioner of Income Tax,
Corporate Circle-I, Coimbatore

5.2.2 The Authorized Representative of the Demerged Company has filed an Affidavit dated 14.02.2023 vide Sr. No. 710 with proof of payment to that effect stating that "The outstanding demand of Rs. 3,173/- and Rs. 2,210/- was paid on 04.02.2023 vide Challan No. 02437 and 02414 respectively and that the demand of Rs. 5,62,680/- was already paid on 18.12.2020 vide Challan No. 50782." The same is taken on record.

6. VALUATION REPORT

The Learned Authorized Representative for the Petitioner Company invited the attention of this Tribunal to the Valuation Report obtained from a Registered Valuer, dated 26.08.2021 and 16.10.2021; wherein in the former report is for the Demerged Company while the latter is for the Resulting Company. The report dated 16.10.2021 mentioning the swap ratio is as extracted hereunder,

Particulars	CAA
Method used to Arrive at fair value	DCF
Division to be Demerged	Trichy Business division
Face value of shares	10.00
Fair value per share	133.71
Fair value per Share of Resultant Company "TAA"	10.28
Swap Ratio	13.01:1.00

7. ACCOUNTING TREATMENT

The Learned Authorized Representative for the Petitioner companies submitted that the Statutory Auditor of the Petitioner companies has examined the Scheme and has individually certified that the Petitioner companies has complied with proviso to Section 230 - 232 and the Accounting Treatment contained in the proposed Scheme of Arrangement (Demerger) is in compliance with the Applicable Indian Accounting Standards notified under section 133 of the Companies Act, 2013 read with the rules made there under and other generally accepted accounting principles in India. The Certificates issued by the Statutory Auditor certifying the Accounting Treatment of the Petitioner Company is filed as additional documents vide Sr. no. 626 dated 08.02.2023.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1. After analysing the Scheme in detail, this Tribunal is of the considered view, that the scheme as contemplated amongst the petitioner companies seems to be *prima facie will* not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections from regulatory authorities and statutory authorities and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement

appended as Exhibit "P-6" with the Company Petitions as well as the prayer made therein.

8.2. From the report of the RD we learn that no investigation proceedings are pending against the Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

8.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

8.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

9. THIS TRIBUNAL DO FURTHER ORDER:

i. That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting

Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

ii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company ; and

iii. That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

iv. That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

v. That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Scheme of Arrangement herein the shares in the Resulting Company to which they are entitled under the said Scheme of Arrangement in terms of *Clause 6.1 Part V* of the Scheme.

vi. That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

vii. That the Appointed date for the Scheme shall be **01.04.2021.**

viii. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

ix. That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

10. Accordingly, the Company Petitions stand **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

ASHOK KUMAR BHARDWAJ
MEMBER (JUDICIAL)

*Order pronounced under Rule 151 of NCLT Rules 2016, by Sameer Kakar Member (Technical) on behalf of the Bench comprising of **Ashok Kumar Bhardwaj**, Member (Judicial) and **Sameer Kakar**, Member (Technical).*

M. Nallusacoque
(Court Officer)